

THE SESSION • POST-CLOSE READ

The Premium Compounds

Brent settled near \$108 and the major averages fell a fourth straight session as September hike odds firmed toward 70%. Dividend Strategy –0.95% trailed DVY; Growth Portfolio –2.19% trailed IUSG.

S&P 500 ▼ 0.58%

NASDAQ ▼ 0.65%

DOW ▼ 0.60%

VIX 17.84

BRENT ▲ \$108

DIVIDEND STRATEGY

▼ TRAILED DVY + SPY

–0.95%

1-DAY

FCI		–0.95%
DVY		–0.12%
SPY		–0.60%

YTD +18.75% vs DVY +16.37% · SPY +11.73%

GROWTH PORTFOLIO

▼ TRAILED IUSG

–2.19%

1-DAY

FCI		–2.19%
IUSG		–0.81%

YTD +20.21% vs IUSG +12.56%

THE SESSION

The market spent Thursday paying for oil. The major averages fell a fourth consecutive session — the S&P 500 –0.58% to 7,591, the Nasdaq –0.65%, the Dow –0.60% — as Brent settled near \$108, up from \$101.53 Wednesday, after Iran's continued strikes on shipping in the Strait of Hormuz and the Houthi seizure of a critical Yemeni port put a second consecutive day of size into the crude advance. The VIX rose to 17.84, and the 10-year Treasury yield pressed to fresh multiyear highs near 4.92% intraday. The morning's thesis — that the yield-and-oil compound, not the data, is setting the tape — resolved exactly that way.

The data itself behaved. August producer prices rose 0.4%, matching consensus, and weekly jobless claims passed without incident. But an in-line wholesale print against \$100-plus crude reads differently than it would have a month ago: by afternoon, futures markets placed roughly 70% odds on a Federal Reserve rate increase at next week's meeting, and Friday morning's CPI is now the print that likely settles the call. The European Central Bank did not wait — it raised its deposit rate a quarter point to 2.50%, its second increase since the war began, with President Lagarde citing the renewed advance in energy prices. Elsewhere in commodities the day cut the other way: copper touched record levels early, then reversed as Washington postponed its refined-copper tariff decision, and gold eased 2.3% — a reminder that even a supply-driven tape does not lift every hard asset in unison.

The barrel sets today's price. The earning power of the businesses we own sets the decade's value. Think like an owner.

Against that tape, both sleeves gave ground. The Dividend Strategy eased 0.95%, trailing DVY (−0.12%) and SPY (−0.60%), with Lam Research and the metals-adjacent names doing most of the damage while Lockheed Martin, ADP and PACCAR firmed. The Growth Portfolio fell 2.19% against IUSG's 0.81% decline, led lower by Freeport-McMoRan's copper reversal, Pagaya's rate repricing and the digital-asset complex as Bitcoin slipped toward \$77,000. One hard day

does not change the standing: year to date the Dividend Strategy holds +18.75% against DVY's +16.37% — a spread of +2.38 points — and the Growth Portfolio holds +20.21% against IUSG's +12.56%, a spread of +7.65 points. Oracle and Adobe results land after tonight's bell, CPI arrives at 8:30 tomorrow morning, and the Committee's posture is unchanged: we own durable businesses on both sides of the book, and we let the anxious set the daily price.

FCI HOLDINGS • NOTABLE MOVERS

WINNERS

NXPI +1.41%

GROWTH

Auto-and-analog exposure firmed against the broader semiconductor fade as the session's rotation favored the value end of the group.

LMT +1.08%

DIVIDEND

Defense drew a steady bid as reports that Iran has resumed ballistic-missile production extended the escalation backdrop; GD firmed alongside.

DECLINERS

FCX −6.56%

GROWTH

Copper retreated from record territory after Washington postponed its refined-copper tariff decision; the most copper-levered large cap repriced with the metal.

PGY −6.02%

GROWTH

Consumer-credit fintech repriced lower as September hike odds firmed toward 70%, pressuring rate-sensitive lending models; SYF eased in sympathy.

FTNT +1.04%

GROWTH

Cybersecurity held a bid through a risk-off tape — one of the few growth pockets to finish green.

ADP +0.80%

DIVIDEND

The payroll processor caught the defensive rotation toward durable, rate-insensitive cash flow.

PCAR +0.57%

DIVIDEND

Firmed with select quality industrials even as the broader cyclical complex traded lower.

LRCX −5.65%

DIVIDEND

The chip-equipment de-rating extended on no company news as climbing yields pressed the group's premium multiples.

HUT −5.55%

GROWTH

Bitcoin's slip toward \$77,000 weighed hardest on the levered miners; MARA fell 4.11% in tandem.

CRDO −4.53%

GROWTH

High-multiple AI-connectivity names bore the growth de-rating as the 10-year pressed to multiyear highs.

YEAR-TO-DATE STANDING

DIVIDEND STRATEGY

+18.75%

vs DVY +16.37% / SPY +11.73%

Spread vs DVY +2.38 pts

GROWTH PORTFOLIO

+20.21%

vs IUSG +12.56%

Spread vs IUSG +7.65 pts